DRUMOAK CAPITAL

STARBUCKS CORPORATION (SBUX)

Equity Research Report

March 2026

As of 13 Mar 2026 Close

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SELL

Starbucks Corporation

NASDAQ: SBUX

Paying a Premium for a Turnaround the Numbers Cannot Yet Support

Bloomberg Ticker	**SBUX US**	Drumoak Rating	**SELL**
Sector	**Consumer Discretionary**	Price Target	**$45-$55**
Share Price	**$97.15**	Implied Downside	**43-54%**
Market Cap	**~$110B**	Short Interest	**4.25%**
TTM P/E	**81.0x**	Forward P/E	**39.7x**
5yr Avg P/E	**38.2x**	Industry Avg P/E	**22.0x**
Net Debt	**$21.9B**	FY25 EBIT Margin	**7.9%**
FY25 Revenue	**$37.7B**	FY26E EPS (mgmt)	**$2.15-2.40**

Drumoak Capital. Educational purposes only. Not investment advice. Sources: SBUX SEC filings, earnings releases, Technomic, StockAnalysis, MacroTrends, ICE Futures, Morningstar, SimplyWallSt, Bloomberg consensus estimates.

KEY DEBATE

Starbucks is a great brand executing a credible operational reset. Q1 FY2026 delivered +4% comparable sales growth, the first transaction-led positive comp in eight years, and the Back to Starbucks programme has started to restore the brand clarity lost during years of menu complexity. The bull case is simple: Brian Niccol turned around Chipotle, and he will do the same here.

Drumoak does not dispute the quality of the operator. The question is whether a turnaround beginning to show early signs of life justified paying 40x forward earnings, nearly double the industry average of 22x and 107% above the company's own ten-year average. Q1 FY2026 delivered a $0.56 Non-GAAP EPS against a $0.59 estimate, a miss. North America operating margins contracted 420 basis points year-on-year. Management guided FY2026 EPS of only $2.15-$2.40, which at the midpoint implied a 39x forward multiple after a "turnaround year." Three structural headwinds: arabica prices at 50-year highs, accelerating competition at every price tier, and $21.9 billion in net debt. Unlikely to be resolved by one quarter of SSS recovery.

The market is paying a premium for hope rather than evidence. Our base case DCF implied $54.80, a 44% downside. Even the bull case, assuming full margin recovery and 7% revenue growth, implies $79.50, still 18% below current levels. At 4.25% short interest, this is not a crowded trade.

KEY FINANCIAL DATA (SBUX) – CLOSING PRICE AS OF 13 MARCH 2026

Metric	Value	Metric	Value
Bloomberg Ticker	SBUX US	Drumoak Rating	**SELL**
Sector	Consumer Discretionary	12-month Target	**$45-$55**
Share Price (USD)	$97.15	Implied Downside	**43-54%**
Market Cap	~$110B	Short Interest	4.25%
TTM P/E	81.0x	Forward P/E	39.7x
5yr Avg P/E	38.2x	Industry Avg P/E	22.0x
EV/EBITDA	25.4x	Net Debt	$21.9B
FY Revenue	$37.7B	FY25 EBIT Margin	7.9%
FY25 Non-GAAP EPS	~$2.10	FY26E EPS (mgmt)	$2.15-$2.40
Shares Outstanding	1,140M	Dividend Yield	2.50%

Over the past twelve months SBUX has traded between approximately $71.94 and $103.93. The stock sits near the top of its recent range despite reporting its weakest EBIT margins in over a decade.

INVESTMENT THESIS

The short thesis rests on one central observation: the market has assigned a turnaround premium that is disconnected from the pace and evidence of the actual turnaround. Brian Niccol is the right person for this role and the operational reset is directionally correct. But "directionally correct" and "deserving 40x forward earnings" require three things to be simultaneously true that are not yet visible in the financial results: margin recovery toward the historical 14-15% range, sustained SSS growth above 3-4%, and a path through the commodity cost environment that does not require passing prices to an already price-sensitive customer base.

None of these conditions are currently met. Arabica coffee futures have traded above $4.00/lb, levels not seen in fifty years, driven by severe drought in Brazil and supply disruptions across Vietnam and Central America. The inverse relationship between arabica prices and Starbucks operating margins is direct and consistent: at $1.05/lb in FY2019 SBUX delivered 15.4% EBIT margins; at $3.80/lb in FY2025 those margins collapsed to 7.9%. Management's own FY2026 guidance implies only partial recovery toward 11%, and that is before any further arabica upside.

The competitive landscape has permanently changed. Starbucks' US coffee shop market share fell from 52% to 48% between 2023 and 2025 according to Technomic. Dunkin' (Private) has opened its 10,000th US location. Dutch Bros ($BROS) is adding 175 stores in 2026. McDonald's ($MCD) McCafe holds 21% of the US market at half the Starbucks price point. Most significantly, Luckin Coffee, which built a multi–billion dollar Chinese business with $1-2 drinks and an app-first model, has opened its first New York City locations with explicitly US expansion plans. The "third place" position was built for a world of five-day commutes; remote and hybrid work has permanently reduced the occasion frequencies that drove morning traffic. These are structural changes, not cyclical ones.

The balance sheet adds a further constraint. Net debt of $21.9 billion against annual FCF of $2.4 billion limits both buyback capacity and the investment flexibility the turnaround requires. The China JV deconsolidation, with Boyu acquiring up to 60% of the Chinese retail business, removes the growth optionality argument that has underpinned the bull case for a decade. Management guides only $0.02-$0.03 EPS dilution, but the strategic cost of existing direct control of the world's most competitive coffee market is not captured in that figure.

The Chipotle comparison that underpins the bull case is instructive about its limits. When Niccol arrived at Chipotle, revenue was growing at 15%+, margins were intact, and the core product faced no commodity pressure. Starbucks is structurally more complex: a global footprint across 88 countries, arabica dependency at scale, a customer base that has been pushed to its price ceiling, now lacking previous brand loyalty, and a Chinese business being handed to a joint venture partner. The turnaround runway is longer, the margin of error is narrower, and the multiple priced in is not materially different from peak-Chipotle levels.

Q1 FY2026 EARNINGS – WHAT THE NUMBERS ACTUALLY SHOW

Metric	Q1 FY2026	Q1 FY2025	YoY Change	vs Estimate
Revenue ($B)	$9.92	$9.40	**+5.5%**	In-line
Global SSS Growth	+4.0%	–4.0%	+800bps	Beat
US SSS Growth	+4.0%	–4.0%	+800bps	Beat
Non-GAAP EPS	$0.56	$0.90	-37.8%	Miss ($0.59E)
Non-GAAP Op Margin	10.1%	12.0%	–190bps	Miss
N. America Op Margin	~11%	~15.4%	–420bps	Miss
Active Rewards Members	35.5M	34.4M	**+3.2%**	In-line

Note: Non-GAAP Operating Margin (10.1%) excludes stock-based compensation and restructuring charges. GAAP EBIT Margin for Q1 FY2026 was 9.0%, as reported in the Financial Performance table on page 7. All margin references in the earnings analysis use the Non-GAAP measure consistent with management reporting; GAAP EBIT margins are used in the DCF and historical financial table for comparability across periods.

The SSS recovery to +4% is real and transaction-led, which is more credible than price-led growth. But it sits alongside a 420 basis point North America margin contraction and an EPS miss. Revenue recovering while earnings power contracts means the business is absorbing cost inflation faster than it is generating operational leverage. That is not a re-rating story at 40x forward earnings.

THE COMMODITY HEADWINDS

Arabica coffee futures hit $4.30/lb in early 2026, a fifty-year high, driven by the worst drought in Brazilian coffee regions in decades and compounding supply disruptions across Vietnam and Central America. Starbucks sources arabica at scale, and at this price level the cost pressure is unavoidable regardless of hedging programmes.

The chart below illustrates the direct relationship between arabica prices and Starbucks operating margins over the past seven years. When arabica averaged $1.05/lb in FY2019, margins were 15.4%. When it hit $3.80/lb in FY2025, margins fell to 7.9%, a 750 basis points contraction. The critical strategic bind is that Starbucks cannot easily pass through the cost increase. The average transaction is already $9.34, more than double Dunkin's $4.68. Multiple rounds of price increases between 2021 and 2024 contributed directly to the traffic declines the current programme is trying to reverse. Management has explicitly chosen not to raise prices further, meaning the arabica headwind flows directly to the margin line with no offset.

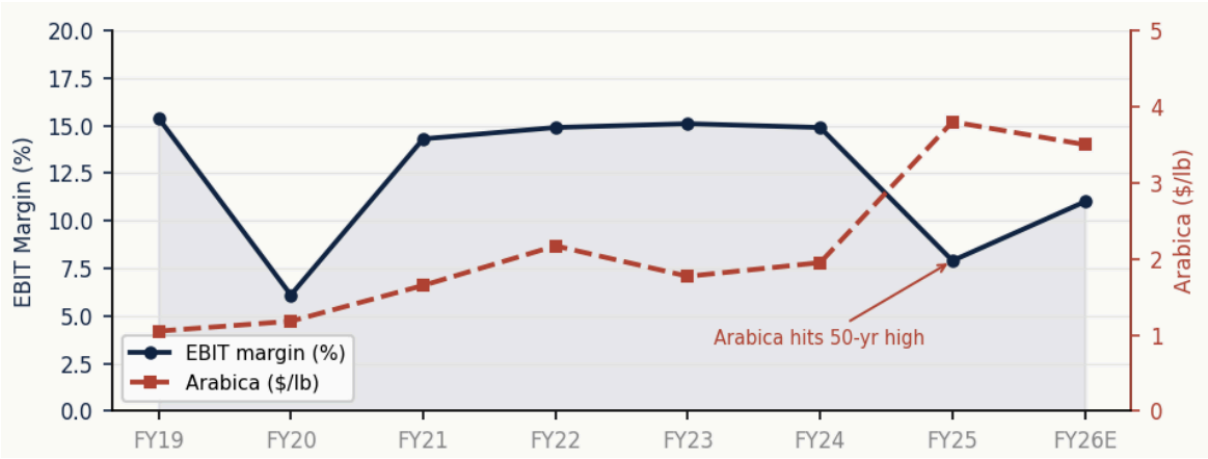

Figure 1: SBUX EBIT margin (%) vs arabica price ($/lb), FY2019-FY2026E. Management's own FY2026 guidance implies only partial margin recovery to ~11%, conditional on arabica not rising further. Source: Starbucks SEC filing, ICE futures.

STRUCTURAL COMPETITIVE EROSION

Starbucks' US coffee shop market share declined from 52% in 2023 to 48% in 2025. This is not a rounding error, it is 400 basis points of structural share loss across a two-year period when the company was investing heavily in its digital and loyalty platforms. Every price tier of the market is under attack simultaneously.

Value Tier: Dunkin' opened its 10,000th US store in 2025 and gained share at both ends of the income spectrum. McDonald's McCafe holds 21% of US coffee market share with lattes at approximately half the Starbucks price. For a consumer under genuine financial pressure, the choice between a $9 Starbucks latte and a $4.50 McCafe equivalent is not a brand loyalty question, it is a budget question.

Premium Tier: Dutch Bros plans 175 new US locations in 2026 with a younger, loyal drive-through customer base and a growing digital rewards programme. Its average ticket sits $3 below Starbucks, and franchisee economics are strong enough to sustain aggressive expansion. Independent specialty coffee shops continued to take urban share from Starbucks in all major US cities in 2025.

International – Luckin enters US: Luckin Coffee built a $3 billion+ Chinese business by serving comparable espresso drinks at $1-2 through an app-first, no-seating model. It has now opened in New York City with explicit US expansion plans. This is the most significant new competitive development in the US coffee market in a decade. When a competitor offers a comparable product at one-fifth the price with faster service, defending the premium on brand alone is not a sustainable long-term strategy.

The "third place" positioning that historically justified Starbucks' premium is also structurally impaired. The concept assumed daily commuting as the habitual occasion driver. Removal and hybrid work permanently reduced that frequency. The Back to Starbucks initiatives (handwritten names, ceramic mugs, condiment bars) correct self-inflicted complexity but do not create new occasions. The Q1 SSS recovery reflects easy prior-year comps and improved in-store execution, not a structural reversal of the competitive dynamics described above.

FINANCIAL PERFORMANCE

Metric	FY2022	FY2023	FY2024	FY2025	Q1 FY2026
Revenue ($B)	$32.25	$35.97	$36.18	$37.70	$9.92
Revenue Growth	**+11.1%**	**+11.5%**	+0.6%	**+4.2%**	**+5.5%**
EBIT Margin	14.9%	15.1%	14.9%	**7.9%**	**9.0%**
Non-GAAP Op Margin	~17%	17.3%	16.9%	N/A	**10.1%**
Non-GAAP EPS ($)	$3.33	$3.58	$3.31	**~$2.10**	**$0.56**
Free Cash Flow ($B)	$3.42	$3.57	$2.97	**$2.40**	N/A
Global SSS Growth	**+5.0%**	**+5.0%**	**–2.0%**	+2.0%	**+4.0%**
Net Debt ($B)	$12.1	$13.5	$16.4	**$21.9**	**~$21.9**

DCF VALUATION – BEAR, BASE, AND BULL SCENARIOS

The DCF below tests three execution scenarios. The bear case reflects continued arabica headwinds, limited pricing power, and modest SSS recovery. The base case assumes Niccol's reset partially succeeds, margins recover toward 11-12% by FY2028 and SSS stabilises above 3%. The bull case is the street's implicit scenario, full margin recovery to 14-15% and sustained revenue growth of 7-8%. Even in the bull case, the implied share price of $79.50 is below the current market price of $97.15.

Metric	Bear	Base	Bull	Street Implied
Revenue Growth Yr 1-3	2%	4%	7%	5%
Revenue Growth Yr 4-7	3%	5.5%	8%	6%
Mature EBIT Margin [1]	8.5%	11.5%	14.5%	15.0%
WACC	10.0%	9.0%	8.0%	8.5%
Terminal Growth Rate	2.0%	2.5%	3.0%	2.5%
Exit EV/EBITDA Multiple	11x	14x	18x	20x
Implied Share Price	**$34.20**	**$54.80**	**$79.50**	**~$101**
Upside / Downside	**–64.8%**	**–43.6%**	**–18.2%**	**+4.1%**
Implied Fwd P/E	23.6x	28.8x	36.1x	~43x ([2])

([1])EBIT Margin shown on a GAAP basis. Q1 FY2026 Non-GAAP Operating Margin was 10.1%; GAAP and Non-GAAP measures diverge in FY2025–2026 due to elevated restructuring and stock-based compensation charges

([2])The Street Implied forward P/E of ~43x is calculated using the consensus price target of ~$101 divided by the midpoint of management's FY2026 EPS guidance of $2.15–2.40 ($2.28 midpoint), implying a 44x multiple on the street's target price. This differs from the 39.7x Forward P/E cited in the summary tables on pages 2–3, which is calculated using the current market price of $97.15 on the same EPS midpoint. The two figures are consistent — the street is simply paying slightly more than the current market price, implying a marginally higher multiple on unchanged earnings estimates.

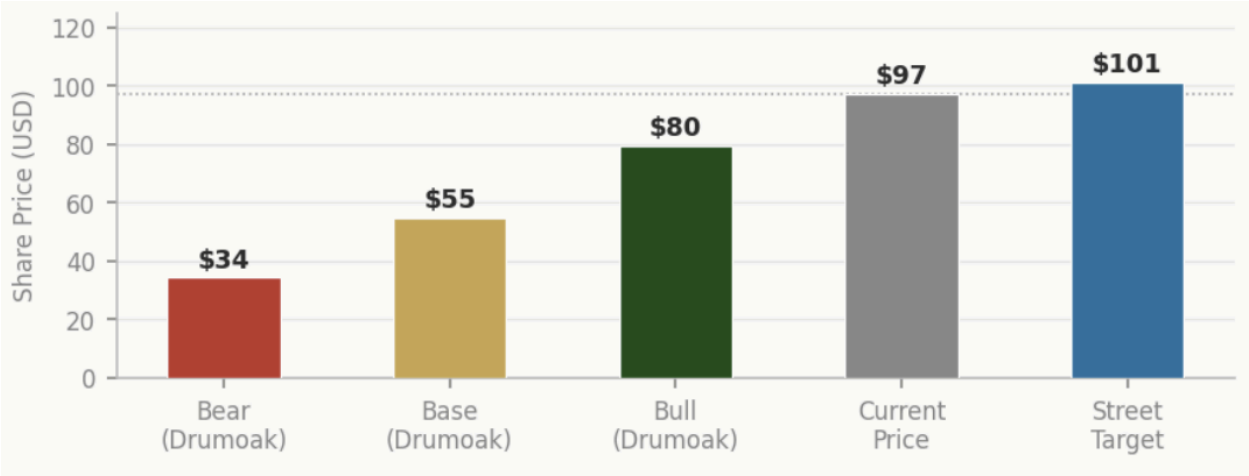

Figure 2: Drumoak implied share prices across bear/base/bull vs current price ($97.15) and street consensus ($101). Net debt of $21.9B deducted in all scenarios. Source: Drumoak Capital DCF model.

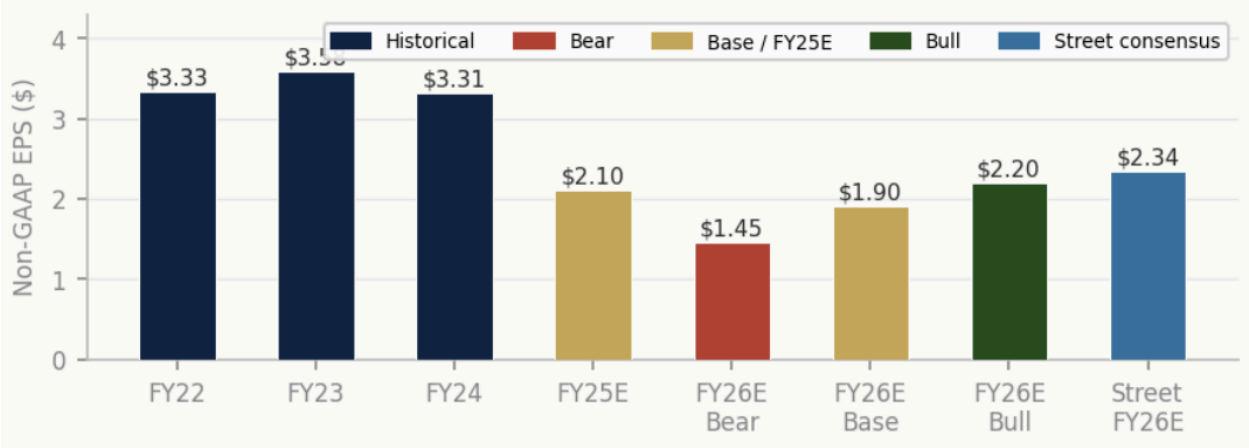

Figure 3: Non-GAAP EPS FY2022-FY2026E. The dashed street consensus of $3.34 requires a 93% EPS rebound in one year – Drumoak's bear and base cases sit materially below. Source:SBUX filings, Drumoak Model.

WHERE DRUMOAK DIFFERS FROM CONSENSUS

The street consensus is a Moderate Buy at $101.08 average target across 24 analysts (13 Buy / 8 Hold / 2 Sell / 1 Strong Buy). Drumoak's Sell at $45-55 directly contradicts that consensus across four specific analytical disagreements

Metric	Street View	Drumoak View	Why We Differ
Price Target	$101.08	**$45-55**	Street applies 40-47x forward earnings. Drumoak applied 20-25x to lower normalised earnings reflecting structural constraints on the margin recovery.
FY2026 EPS	$2.34	$1.80-$2.10	The street's 93% EPS rebound requires margin recovery that arabica prices and labour investment make unlikely in a single year.
FY2027 EBIT Margin	~14-15%	10-12%	Full margin recovery to historical levels requires

			commodity tailwinds and traffic recovery not yet visible in the financial results
SSS Sustainability	+3-5% ongoing	+2-3% base	Q1 SSS benefited from easy prior-year comps. The structural traffic decline from remote work and competition is not yet reversed.
Fair P/E Multiple	36-50x fwd	20-25x fwd	A business with $21.9B net debt, contracting margins, and 4% near-term growth does not warrant a premium to its own five-year average P/E
China Risk	Neutral/Managed	Underpriced	JV deconsolidation removes $3B+ revenue and signals a strategic retreat from the world's most competitive coffee market just as Luckin scales internationally.

2026 KEY PERFORMANCE INDICATORS FOR STARBUCKS

A clean, measurable, repeatable section focusing on the Drumoak Process.

Pillar	KPI	Why It Matters	Bear Signal into 2026	Source
Commodity	Arabica futures ($/lb)	Direct driver of margin compression, single biggest swing factor.	Stays above $3.50/lb through Q3 2026	ICE Futures, mgmt commentary
Demand	US & Global SSS (%)	Separates real traffic recovery from calendar comp effect.	Falls below +2% for two consecutive quarters	Company earnings, Technomic
Profitability	EBIT / Non-GAAP Op Margin	Tests whether turnaround delivers earnings, not just revenue.	Stays below 12% through full FY2026	SEC filings, earnings releases
Competition	US market share (%)	Validates whether brand moat is intact or still eroding	Falls below 47% in next Technomic survey	Technomic annual survey
Balance Sheet	Net Debt / FCF ratio	Limits buyback capacity and investment flexibility	Net debt rises above $23B or FCF falls below $2B	10-Q and 10-K filings
China	JV EPS dilution + China SSS	Deconsolidation is a structural risk underpriced by consensus	Dilution exceeds $0.03 or China SSS worsens post-close	Company filings, earnings call

MONITORING FRAMEWORK (2026): SIGNALS AND RISKS

Thesis Strengthening Signals:

- Arabica futures fall sustainably below $3.00/lb on supply recovery, single largest catalyst for a full thesis review
- EBIT margin recovers above 13% for two consecutive quarters alongside positive SSS growth, demonstrating revenue and profitability can improve simultaneously
- US market share stabilises at or above 48% in the next Technomic survey.
- China JV closes without EPS dilution beyond the $0.02-$0.03 guided range.

Yellow Flags (thesis deteriorating - slow or pause short):

- SSS accelerates to +5% for two consecutive quarters with simultaneous margin expansion, the turnaround is proving faster than the base case.
- Arabica futures decline materially, providing a structural margin tailwind that transforms the earnings trajectory within 12 months
- Activist investors enter with a credible capital return programme.

RISKS TO THE SHORT THESIS

Risk	What It Would Look Like	Early Warning Indicator	Assessment
SSS acceleration	Back to Starbucks drives +5% comps for multiple consecutive quarters, validating the turnaround faster than expected.	Two consecutive quarters of +5% SSS with positive margin delta	**Medium**: Q1 at +4% encourages but does not confirm sustainability
Arabica Price Decline	Supply recovery in Brazil drives arabica below $2.50/lb, providing 300-400bps of near-term margin relief.	ICE arabica futures fall below $3.00/lb and sustain for 60+ days.	**Low**: Over 6-12 months, supply disruptions have multi-year recovery timelines.
Multiple Expansion	Market assigns a higher multiple on turnaround enthusiasm regardless of near-term fundamentals, momentum overrides the fundamentals	Forward P/E expands above 50x on positive momentum	**Medium**: Short this has a 12-18 month horizon. Size position to reflect this timing risk.
Activist Investor	A large activist takes a position demanding buybacks or strategic review, creating near-term price support.	13D/13G filing by a known activist fund.	**Low**: Net debt of $21.9B severely constrains activist outcomes.

NEAR-TERM CATALYSTS

Catalyst	Timing	Bear Signal	Bull Signal
Q2 FY2026 Earnings	Late April 2026	SSS below +3%, margin contracts again, EPS misses.	SSS 5%+, margin expands materially, EPS beats
Arabica Futures	Ongoing	Stays above $3.50/lb through Q3 2026	Falls below $2.50/lb on Brazilian supply recovery

China JV close	Spring 2026	EPS dilution exceeds $0.02-$0.03 guided range	Clean separation confirmed, no ongoing P&L drag
$2B cost programme	FY2026	Savings below target or accompanied by revenue cost	Programme delivers ahead of schedule in H1 2026
Technomic US share data	Q2 2026	US share falls below 47% as Dutch Bros / Luckin gain	Share stabilises at 48%+ confirming turnaround working.

DRUMOAK CAPITAL POSITIONING

Following the Q1 FY2026 earnings release, which confirmed the combination of SSS recovery (positive) and margin contraction (negative) that characterises this thesis, Drumoak would hypothetically initiate a short position in SBUX at current levels. The Q1 print validated that the turnaround narrative, "recovery working, re-rate incoming", is not yet matched by the earnings trajectory.

The position is sized to reflect the key timing risk: multiple expansion is genuine near-term in an environment where momentum traders can push a turnaround narrative regardless of quarterly EPS outcomes, and the 12-18 month thesis horizon requires discipline to avoid being stopped out by sentiment before the fundamental evidence accumulates. The short is held as a conviction position with a clear review trigger: two consecutive quarters of SSS growth above 5% accompanied by measurable EBIT margin expansion would require a full re-evaluation of the thesis.

The Q2 FY2026 earnings print in late April 2026 is the first clean catalyst window, the first quarter without the benefit of an easy prior-year comparison (Q1 FY2025 SSS: –4.0%), and the first opportunity to see whether the arabica cost headwind is peaking or persisting.

Drumoak Capital Rating: SELL – 12-Month Price Target: $45-55 – Implied Downside: 43-54%

Thesis valid while: (1) arabica futures remain above $3.00/lb; (2) forward P/E exceeds 30x; (3) EBIT margin remains below 12%; (4) US market share continues declining Thesis review triggered by two consecutive quarters of SSS growth above +5% with simultaneous EBIT margin expansion.

Prepared by Angus Logan, Managing Director, Drumoak Capital. McGill University – B.Com Finance & Statistics, Class of 2028. March 2026.
This report is produced for educational and research purposes and does not constitute investment advice. All data sourced from Starbucks Corporation SEC filings and earnings releases, Technomic, StockAnalysis, MacroTrends, SimplyWallSt, Morningstar, ICE Futures, and Bloomberg consensus estimates.